Musharraf's efforts to rein in the Kashmir jihad became more strenuous beginning in the middle of the decade, but did not extend to dismantling fully the militant infrastructure on Pakistan's soil. His government had decided to keep alive some of its militant assets in 2003, despite the fact that pockets among Pakistan's jihadis had begun turning against the state soon after 9/11. After initiating the composite dialogue and back channel talks in 2004 the Musharraf regime began making a more consistent effort to curtail militant infiltration across the LoC. However, the security services continued to clamp down more robustly on some outfits than on others. Lashkar's activities in Indian-administered Kashmir slowed as a result, but the group faired better than its jihadi brethren and it continued to wage a controlled jihad. In July 2004, US Deputy Secretary of State Armitage affirmed 'the infrastructure, the camps, still have not been entirely dismantled' adding that 'there is indeed cross Line of Control violence.'[10] Further, the state's efforts were not only incremental, but also reversible. Training camps outside of FATA, and therefore in areas under state control, reportedly reopened in May and early June of 2005.[11] Two Western officials who were tracking cross-LoC infiltrations at the time assert these were rising, as they normally did during the spring and summer months.[12] Then in July 2005 came the suicide bombings in London, the shock waves of which reached all the way to Pakistan, where two of the bombers had trained. In their aftermath the Musharraf regime faced enormous international pressure to show that it was really cracking down on the terrorist infrastructure in Pakistan.

All of Musharraf's efforts against Lashkar to this point had been 'more about PR' to quote one Western diplomat who witnessed them first-hand.[13] After the 7/7 attacks the army and ISI put pressure on all of the jihadi groups, including Lashkar, to scale back their activities further. The security services closed down several Lashkar camps, though not all of them, and threw some of the foreigners attempting to train in them out of the country.[14] But the most visible indicator of official action, and hence the easiest way to show results to the international community, was to reduce militant activity in Indian-administered Kashmir to a greater degree than hitherto. Lashkar was not the only group that had its operations curtailed, but it was much more active than any other outfit and so this had a far greater impact on it. The security services pressured Lashkar to reduce